

Introduction

“The reason for using commodity money is precisely to prevent political influence from directly affecting the value of the monetary unit.” – Ludwig Von Mises.¹

The debate on a cashless society is typically framed on fiscal efficiency and privacy. Yet Mises’ observation points to a deeper institutional issue, the relationship between money and political power. Although Mises refers to commodity money, the argument extends beyond the gold standard. Monetary institutions are not mere mechanisms of exchange. They also impose structural constraints to shield money and individuals from political interference. In contemporary economies, physical cash acts as the barrier between the individual and political influence.

This essay examines the consequences of this layer falling, the constraints it would impose on economic policy and the institutional reconfiguration that would follow from its disappearance.

A cashless society must be feared, not merely because it threatens privacy or civil liberties, but because it alters the nature of money as a market and social institution.

The Nature of Money

Money is not a creature of statute, nor the product of collective agreement imposed from above. As Carl Menger demonstrated, the origin of money is social, a product of the spontaneous market process, arising from the saleableness principle, that is, it can be exchanged at any time with minimal loss.²

Money, therefore, must be studied as a creation of the spontaneous order of the market. Its legitimacy and stability do not derive from decree, but from its capacity to coordinate decentralized exchange. One must conclude that a cashless society means altering the social character of money itself, shifting it from an institution sustained by the decentralized structure of the market to one dependent on centralized authorization.

Cash as the Last Non-Discretionary Settlement Layer

Modern monetary systems operate through multiple settlement layers. Most everyday transactions occur within intermediated financial infrastructures, including central bank money, bank deposits, card networks, and clearing systems. These systems require an intermediary with discretionary control over the settlement through the following mechanisms: (a) authorization, (b) temporal control, (c) censorship, and (d) reversibility. This enables financial institutions to approve or deny transactions, delay their execution, prohibit certain payments, and reverse completed transfers.³

By contrast, physical cash represents a different transaction structure. Payments take place without the authorization of intermediaries, so final settlement rests directly with the counterparties themselves. Cash is therefore a non-discretionary settlement layer, since it does not depend on intermediaries’ discretion.

At this point, advocates of a cashless society might argue that cash is already becoming obsolete. For example, 48% of point-of-sale payments in the EU are already made using digital payment instruments.⁴ However, the current financial architecture remains partially decentralized, with multiple actors dispersing control over transactions. If physical cash were eliminated, all transactions would go through intermediated systems, making the entire settlement architecture fully institutional and therefore subject to political and regulatory influence.⁵

Cash also acts as an “exit option” from financial intermediaries preventing them from having a monopoly over payment processing. This alternative limits the extent to which financial institutions can exercise discretionary control over money. The possibility of choosing between different monetary instruments introduces a form of competitive constraint within the monetary system. Similar concerns about monetary monopolies have been raised by Friedrich Hayek in *The Denationalisation of Money*.⁶

Thus, cash occupies a unique place within the monetary system. As long as a non-discretionary settlement mechanism exists, not all transactions depend on institutional mediation. Cash therefore represents more than a traditional medium of payment. It constitutes the last payment method available to the public that limits institutional or political interference.

The institutional role of cash has already been examined. Nevertheless, it is indispensable to analyze how a cashless society would operate in practice and which aspects of economic policy, the financial system, and market dynamics would be affected.

Cashlessness and the Expansion of Monetary Discretion

The disappearance of physical cash would fundamentally alter the institutional constraints on the monetary system, expanding the scope of intervention available to central banks and financial institutions.

One of the main constraints cash imposes on monetary policy is the zero lower bound (ZLB). The ZLB is a constraint on monetary policy under which central banks cannot reduce interest rates significantly below zero. This occurs because cash constitutes a monetary alternative with a 0% nominal return; assuming cost is fully passed on, negative rates would lead depositors to transfer their holdings into cash.

Without cash, this constraint disappears. It is therefore unsurprising that proponents of eliminating the ZLB often criticize the existence of physical currency. Kenneth Rogoff, for instance, argues that phasing out paper money would be a necessary step towards the removal of the ZLB.⁷

However, lifting the zero lower bound gives rise to several additional economic problems. To begin with, negative rates act as an implicit tax on deposits, yet unlike conventional taxation, they are neither publicly announced nor subject to legislative approval. Thus, eliminating the main exit option generates a system in which negative interest rates can be universally enforced, transforming monetary policy into a direct instrument of extraction.

More fundamentally, empirical evidence shows that banks are often reluctant to pass negative interest rates through to retail deposits. As a result, negative policy rates compress banks' net interest margins and weaken their profitability.⁸ When bank profitability declines, the capacity and incentives of financial intermediaries to extend credit are reduced, constraining the supply of loans. Hence, many investment projects that would otherwise be profitable become financially unviable, leading to a contraction in investment and ultimately slower economic growth.⁹

Proponents of a cashless system argue that eliminating cash is a necessary step to overcome the ZLB, thereby expanding the scope of monetary policy during crises. However, this comes at the cost of increased monetary discretion. Even where negative rates are introduced only in exceptional circumstances, expectations about future monetary policy and the discretionary equilibrium are correspondingly displaced, in line with the time inconsistency framework

developed by Finn E. Kydland and Edward C. Prescott (1977).¹⁰ What is presented as an exceptional measure, risks becoming normalized over time, reflecting a ratchet effect. This relationship is illustrated in Figure 1 below.

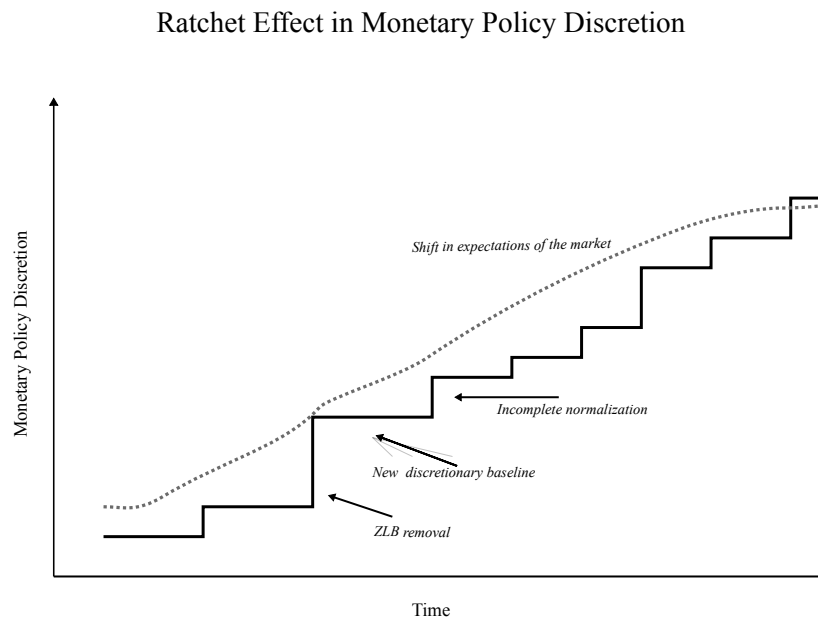


Figure 1. Ratchet Effect in Monetary Policy Discretion
Source: own elaboration.

Beyond these macroeconomic effects, the elimination of cash fundamentally expands institutional control over the financial system. By removing the possibility of withdrawing into a non-bank monetary asset, individuals become fully dependent on the banking system for holding and transferring money.

In such a framework, all monetary holdings take the form of deposits, which, as Mises notes in *The Theory of Money and Credit*, are not money in the strict sense but claims against banks and therefore liabilities on their balance sheets.¹¹ As a result, deposits become fully controllable liabilities rather than claims redeemable into an external settlement medium.

Consequently, authorities acquire the ability to restrict withdrawals, impose conditions on deposits, and limit or prohibit specific uses of funds.

This shift concentrates power within the financial system, altering the structure of incentives and weakening the constraints that would otherwise discipline institutional behavior.

Incentives, Power and Institutional Risk

The strongest case for a cashless society lies in its capacity to reduce the divergence between formal rules and actual economic behavior. By eliminating anonymous transactions, it enables near-perfect enforcement of tax compliance and financial regulation, substantially reducing evasion, corruption, and illicit finance. At the same time, it enables a higher degree of policy precision, governments can target transfers directly and implement interventions at the micro level rather than through aggregate instruments. In this sense, cashlessness represents a structural expansion of state capacity.

However, this argument rests on the assumption that increased state capacity is aligned with welfare-maximizing outcomes. Public Choice theory models political actors as utility-maximizing individuals operating within institutional constraints, responding to electoral and power-related incentives.¹² Therefore, expanding the scope of intervention broadens the range over which political incentives operate, removing the institutional constraint imposed by cash and creating opportunities for rent-seeking and manipulation.

Consider, for instance, a society in which all transactions are digitally recorded and accessible to fiscal authorities. Granular consumption data would allow political actors to design highly targeted transfers and interventions, not to maximize social welfare, but to optimize electoral outcomes by concentrating benefits on pivotal voter groups.

This dynamic is not merely hypothetical. The Cambridge Analytica scandal demonstrated how behavioral data can be used to micro-target specific voters and influence electoral behavior. A fully cashless system would extend this logic to financial behavior, providing an even more detailed and actionable dataset.

Thus, policy precision does not enhance efficiency, but instead aligns economic interventions with political incentives, reinforcing the discretionary power of those who control the system.

This shift must therefore be understood not as a matter of policy efficiency, but as a complete change in the system of constraints designed to limit the scope of political action. Buchanan and Tullock argue in *The Calculus of Consent* that institutions do not exist only as arbitrary constructs, but as mechanisms aimed at constraining the external costs imposed by political decision-making.¹³ In this sense, cash functions as a decentralized constraint on state discretion, preserving a sphere of economic activity beyond the immediate political control.

A further argument against cash is that its disappearance would lower crime rates and reduce the size of parallel markets. This may be partially true. Cash has historically proven to be the preferred vehicle for criminals to maintain shadow economies.

However, since money does not originate from a single central actor, its elimination would not suppress it but rather give rise to alternative arrangements through the spontaneous order of the market, as described by Luther & Hendrickson (2022).¹⁴ A clear illustration of this can be found in Argentina, where restrictions on the use of a foreign currency—particularly the U.S. dollar—have given rise to parallel markets, most notably the emergence of the “blue dollar”.¹⁵

Even where the dollar is limited or unavailable, cryptocurrencies have proven to be an effective alternative. This is reflected in countries with capital controls, where capital outflows are severely restricted and informal economic actors resort to crypto-assets to flee from state control.¹⁶ While this is not directly analogous to a cashless society, this case illustrates a general principle: restrictions on widely accepted means of exchange would lead to the proliferation of unofficial parallel alternatives.

Monetary Freedom and Individual Sovereignty

A cashless society cannot be evaluated solely in terms of efficiency or policy outcomes. It requires an analysis of the institutional conditions that shape individual freedom. Money is the essential means through which individuals exercise economic action within the market process.

If a central authority exercises discretionary control over money, it indirectly constrains economic action, as control over the means of exchange entails control over the conditions of

their use.¹⁷ As Hayek noted, economic freedom is not a separate sphere of liberty, but a precondition for the exercise of all others; its violation directly threatens political liberty.¹⁸

Consequently, cash constitutes the last form of individual monetary sovereignty. It imposes an effective constraint on political actors and preserves de facto transactional anonymity, preventing the systematic monitoring and conditional restriction of individual economic behavior.¹⁹ That said, proponents of Central Bank Digital Currencies (CBDC) argue that privacy can be preserved by keeping small transactions while disclosing larger ones to the state.²⁰ However, the issue is not discrete state intervention but the systematic risk inherent in the system.²¹

Once cash is removed, sovereignty is not solely eroded but structurally dismantled: economic agents become fully dependent on centralized intermediaries for the execution of transactions, subjecting their economic activity to external authorization and control.

Seen in this light, the elimination of cash constitutes not merely a technological shift, but a fundamental reconfiguration of the focus of control over individual economic action.

Conclusion

A cashless society should be feared not for its technology, but for the discretionary control it enables. Eliminating cash transforms a decentralized market institution into a centralized mechanism of discretion. The issue is not efficiency, but whether money constrains power, or becomes the instrument through which it is exercised.

¹ Ludwig Von Mises, “On the Manipulation of Money and Credit: Three Treatises on Trade-Cycle Theory,” in *On the Manipulation of Money and Credit: Three Treatises on Trade-Cycle Theory*. (Liberty Fund, 1978).

² Carl Menger, *The Origins of Money*, n.d.

³ “The Curse of Cash | Princeton University Press,” June 9, 2016, <https://press.princeton.edu/books/hardcover/9780691172132/the-curse-of-cash>.

⁴ European Central Bank, *Study on the Payment Attitudes of Consumers in the Euro Area 2024*, December 19, 2024, <https://doi.org/10.2866/9860161>.

⁵ Jesus Fernandez-Villaverde et al., “Central Bank Digital Currency: Central Banking For All?,” *Review of Economic Dynamics* 41 (2021): 225–42.

⁶ Friedrich A. von Hayek, *Denationalisation of Money* (Ludwig von Mises Institute, 1976).

⁷ “The Curse of Cash | Princeton University Press,” Kenneth Rogoff.

⁸ Morten Bech and Aytek Malkhozov, *How Have Central Banks Implemented Negative Policy Rates?*, n.d.

⁹ Ben S. Bernanke and Mark Gertler, “Inside the Black Box: The Credit Channel of Monetary Policy Transmission,” *The Journal of Economic Perspectives* 9, no. 4 (1995): 27–48.

¹⁰ Finn E. Kydland and Edward C. Prescott, “Rules Rather than Discretion: The Inconsistency of Optimal Plans,” *Journal of Political Economy* 85, no. 3 (1977): 473–91.

¹¹ Ludwig Von Mises, *The Theory of Money and Credit* (Ludwig von Mises Institute, 2009).

¹² Dennis C. Mueller, “Public Choice III,” Cambridge Aspire Website, Cambridge University Press, February 17, 2003, <https://doi.org/10.1017/CBO9780511813771>.

¹³ James M. Buchanan, “The Calculus of Consent: Logical Foundations of Constitutional Democracy | Online Library of Liberty,” accessed March 20, 2026, <https://oll.libertyfund.org/titles/buchanan-the-calculus-of-consent-logical-foundations-of-constitutional-democracy>.

¹⁴ Joshua R. Hendrickson and William J. Luther, “Cash, Crime, and Cryptocurrencies,” *The Quarterly Review of Economics and Finance* 85 (August 2022): 200–207, <https://doi.org/10.1016/j.qref.2021.01.004>.

¹⁵ Santiago Graña-Colella and Matías Vernengo, “Currency Substitution in Argentina, 2003-2019: An Evaluation of Alternative Explanations,” *PSL Quarterly Review*, October 14, 2024, 313-327 Paginazione, 313-327 Paginazione, <https://doi.org/10.13133/2037-3643/18652>.

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- ¹⁶ Maggie R. Hu et al., “Evading Capital Controls via Cryptocurrencies: Evidence from the Blockchain,” SSRN Scholarly Paper no. 3956933 (Social Science Research Network, December 22, 2021), <https://doi.org/10.2139/ssrn.3956933>.
- ¹⁷ F. A. Hayek, “Planning, Science and Freedom,” *Nature* 148, no. 3759 (1941): 580–84, <https://doi.org/10.1038/148580a0>.
- ¹⁸ Friedrich A. von Hayek, *The Road to Serfdom: Text and Documents*, Definitive ed, The Collected Works of F.A. Hayek, v. 2 (University of Chicago Press, 2007).
- ¹⁹ Charles M. Kahn et al., “Money Is Privacy,” *International Economic Review* 46, no. 2 (2005): 377–99.
- ²⁰ Christian Grothoff and Thomas Moser, “How to Issue a Privacy-Preserving Central Bank Digital Currency,” SSRN Scholarly Paper no. 3965050 (Social Science Research Network, June 1, 2021), <https://doi.org/10.2139/ssrn.3965050>.
- ²¹ *Central Bank Digital Currencies (CBDCs) and Democratic Values*, OECD Business and Finance Policy Papers no. 31, vol. 31, OECD Business and Finance Policy Papers (2023), <https://doi.org/10.1787/f3e70f1f-en>.

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